INDEPENDENT VALUATION · UTILITIES · UTILITIES - REGULATED ELECTRIC

The Southern Company SO

Good company, full price: the numbers leave little margin for error

REDUCE

$74.06 target · 12m

Price (13 Oct 2026)	$88.03
12m total return	-12%
Fair value today	$62.11
Confidence	Medium

We rate **The Southern Company REDUCE** with a 12-month price target of **$74.06**, **16%** below the $88.03 share price (−12% including the 3.5% dividend yield). The target starts from our blended fair value of $62.11 a share, rolls it forward a year at the 7.5% cost of equity, deducts $3.04 of dividends and gives the Street consensus a 30% weight as a deliberate hedge against model error.

Investment summary

The Southern Company generated **$29.55bn** of revenue in FY2025, +11% on the year, at a **24.7%** EBIT margin (high). Over the 3-year window revenue compounded at 0.3% a year. Consensus looks for revenue of $30.92bn in FY2026 (+5%) and EPS of $4.59, rising to $4.92 in FY2027.

At $88.03 the shares trade on **18.5x** NTM earnings against a 17.0x reference for regulated utilities (+9%) and on 10.9x EV/EBITDA against 11.0x (−1%).

The Street's mean 12-month target is $98.13 (+11%, 19 analysts). Our model-only target of $63.74 sits 35% below it; the published number blends the two so that neither a model error nor a consensus drift dominates.

The Reloj de inversión reads **Stagflation** with weak conviction; the Utilities sleeve has a probability-weighted tilt of **+0.0 pp** a year against the US market. The cycle is context for the call, not an input to the target (page 11).

A reverse DCF shows the price discounts year-one revenue growth of **10.0%** against our 4.6% base, so the market is asking for more than we model. That is the cleanest single measure of how demanding the price is.

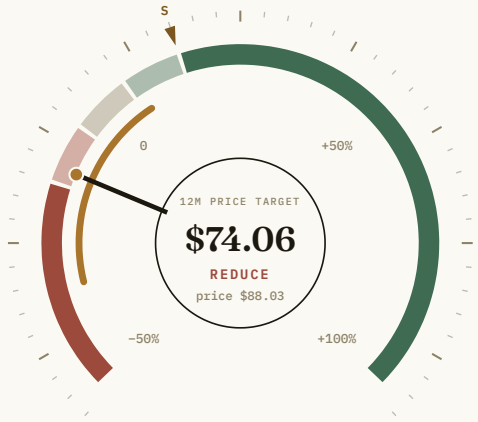
Key risks

- Allowed returns and rate-case outcomes drive long-run value; a regulatory reset or higher funding costs would compress the multiple.
- Elevated leverage (debt/equity 0.7x at market) amplifies equity-value sensitivity to the cost of capital.
- Our model-only target is 35% below the Street consensus ($98.13); where the model is right the stock has an information edge, where it is wrong the Street's inputs deserve more weight.

WHAT WOULD CHANGE OUR MIND

- A sustained miss on FY2026 revenue (consensus +5%) or on the EBIT margin path; each 100bps of margin is worth $4.35 a share in the DCF.
- A re-rating of the sector multiple the relative lenses are anchored on, in either direction.
- A move in the cost of equity from today's 7.5%: rates and the equity risk premium are the largest single swing factor in the DCF.
- A change in the Reloj's phase reading that turns the sector's historical tilt from headwind to tailwind, or the reverse.

EXHIBIT 1 12-MONTH EXPECTED RETURN AND TARGET



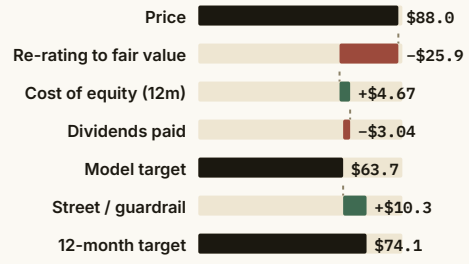
Bear–bull range from the lens ranges; S marks the Street mean.

EXHIBIT 2 KEY DATA

Market cap	$101.27bn
Enterprise value	$173.70bn
Net debt	$72.44bn
Net debt / EBITDA	5.1x
EV / EBITDA (LTM)	12.2x
P/E (LTM)	22.5x
FCF yield (LTM)	-0.1%
Dividend yield	3.5%
Beta	0.30
Diluted shares	1,150mn

Source: yfinance; SuperAnalyst.

EXHIBIT 3 FROM PRICE TO TARGET



Source: SuperAnalyst valuation model.

EXHIBIT 4 SUMMARY FINANCIALS AND VALUATION AT THE CURRENT PRICE

$ PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	**$26.72bn**	**$29.55bn**	**$30.92bn**	**$32.74bn**	**$34.33bn**	**$35.74bn**
growth	+5.8%	+10.6%	+4.6%	+5.9%	+4.8%	+4.1%
EBITDA	$13.24bn	$14.27bn	$15.25bn	$16.04bn	$16.57bn	$16.98bn
EBIT margin	26.4%	24.7%	30.9%	30.6%	29.8%	29.1%
EPS	**$3.99**	**$3.92**	**$4.59**	**$4.92**	**$5.09**	**$5.20**
FCFF/share	$3.03	($0.20)	$2.63	$3.21	$3.63	$4.08
EV/EBITDA	13.1x	12.2x	11.4x	10.8x	10.5x	10.2x
P/E	22.1x	22.5x	19.2x	17.9x	17.3x	16.9x
FCF yield	2.0%	-0.1%	1.7%	2.1%	2.4%	2.7%

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT − LTM interest) × (1 − t).

Source: yfinance; SuperAnalyst. Prices and fundamentals as of the report date; analyst consensus. See page 15 for methodology and disclosures.

INVESTMENT THESIS

Why this number, and what it rests on

At $88.03 the shares discount more than our $62.11 fair value supports; the debate is how much of the growth is already in the price.

1 · Earnings power and returns on capital

Consensus has revenue growing **+5%** in FY2026 and +6% in FY2027; our DCF fades growth from 5% in year one to the 2.5% terminal rate over 10 years, so no single year's step is extrapolated. The business earns **5.6%** on invested capital against a 7.0% cost of capital, a shortfall of 135bps, so on today's returns growth destroys value.

The margin is where the argument sits. The latest EBIT margin of 25% compares with a through-cycle average of 23%; the model flags the business as cyclical (revenue fell 14% in a single year), so we credit only part of the current margin as durable (a 26% terminal margin in the DCF).

2 · Valuation

Our four lenses blend to **$62.11** today, 29% below the price; the heaviest, forward P/E, carries 30% of the weight at $68.73.

At our target the stock would trade on **15.6x** NTM earnings against 17.0x for the sector, i.e. a discount that we think is justified given its growth relative to the sector.

3 · Balance sheet and cash conversion

The Southern Company ends FY2025 with $1.64bn of cash against $74.08bn of debt, net debt of $72.44bn (5.1x EBITDA, high leverage); EBIT covers interest 2.2x. Free cash flow (operating cash flow less capex) was −$2.94bn, a −2.9% yield on the market cap, and capex ran at 2.1x depreciation.

What the price discounts, and where we differ from the Street

Solving the DCF backwards for the current price gives year-one revenue growth of **10.0%** (terminal growth 4.7%) against our 4.6% base. The market therefore already needs more than we forecast; delivery at our base case would not be enough to justify the price on the DCF alone.

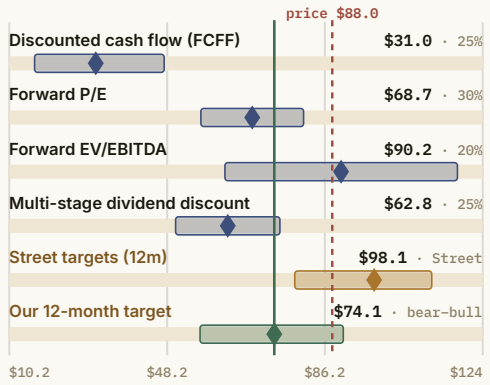
Against a Street mean of $98.13 (+11%), our model-only target of $63.74 is 35% lower. We flag the gap rather than close it: where the model is right the stock has an information edge, where it is wrong the Street's inputs deserve more weight.

In summary

KEY TAKEAWAYS

- REDUCE: $74.06 target (−16%), $62.11 fair value, 7.5% cost of equity.
- Consensus revenue +5% in FY2026; EBIT margin 25% today, 26% in our terminal year.
- 18.5x NTM P/E against 17.0x for the sector; 15.6x at our target.
- Cycle: Stagflation (weak signal), sector tilt +0.0 pp a year.

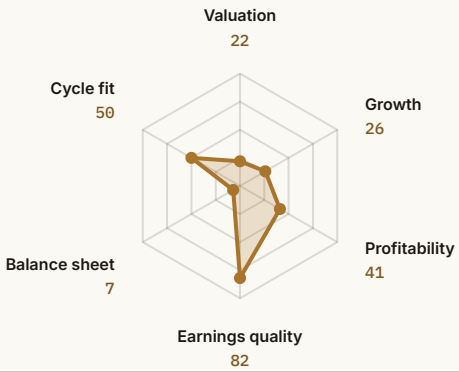
EXHIBIT 5 VALUE PER SHARE BY LENS



4 lenses blend to a fair value of **$62.11** (dispersion 34%). Street mean $98.13 over 19 analysts.

Source: SuperAnalyst valuation model.

EXHIBIT 6 FACTOR SCORECARD (0–100)



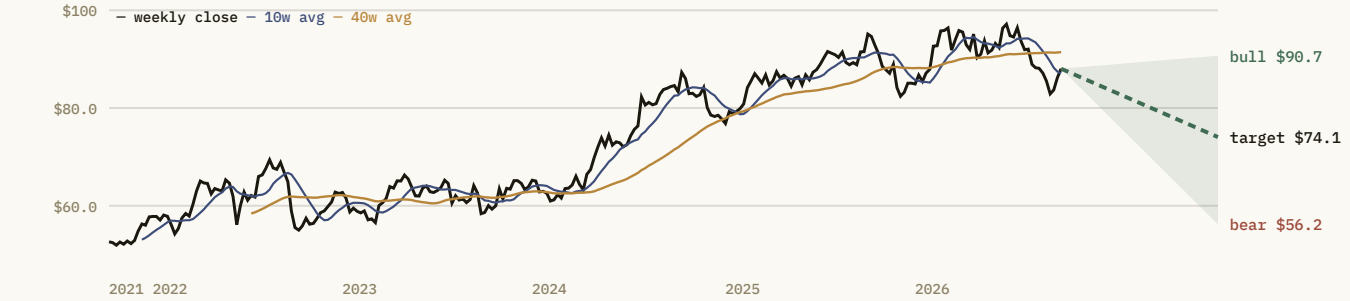
VALUATION	GROWTH
22	26
PROFITABILITY	EARNINGS QUALITY
41	82
BALANCE SHEET	CYCLE FIT
7	50

Heuristic scales, defined in the appendix.

EXHIBIT 7 MODEL VERSUS STREET

Street mean target	$98.13
Upside to Street mean	+11%
Street range	$79.00–112.00
Analysts	19
Mean recommendation (1 = buy)	2.6
Our model-only target	$63.74
Divergence vs Street	−35%
Street weight in our target	30%
Published target	**$74.06**

EXHIBIT 8 FIVE YEARS OF PRICE AGAINST OUR 12-MONTH TARGET



Source: yfinance. Weekly closes; shaded cone = bear–bull range for the 12-month target.

VALUATION · METHOD

How $62.11 of fair value becomes a $74.06 target

Several independent answers to "what is a share worth?", weighted by what fits the business, filtered by explicit guardrails.

Regulated, low-growth, high-payout: forward P/E against regulated peers, a multi-stage dividend model, and a DCF with rate-base-style reinvestment. The profile for **SO** is **Utility (P/E + dividends + DCF)**; it prescribes four methods, of which four produced a usable value.

The lenses, one by one

Forward P/E ($68.73 a share, 30% of the weight) applies a **14.4x** target multiple to NTM EPS of $4.76. The multiple starts from an anchor of 17.0x (Regulated utilities reference 17.0x, no usable peer set), is scaled by 1.00 for durable growth (6.0% durable growth vs 6.0% sector).

Discounted cash flow (FCFF) ($31.02 a share, 25% of the weight) values ten years of free cash flow to the firm at a 6.96% WACC with 2.50% terminal growth; the terminal value is $72.46bn (65% of EV). Growth decays geometrically and margins mean-revert, so it does not extrapolate today's profitability; here it sits below the multiples lenses.

Multi-stage dividend discount ($62.83 a share, 25% of the weight): dividends grow from the retention-implied rate and fade to a sustainable terminal growth, discounted at the cost of equity.

Forward EV/EBITDA ($90.15 a share, 20% of the weight) capitalises NTM EBITDA of $16.27bn at **11.0x**, then bridges to equity through net debt. The anchor is 11.0x; growth and durability adjustments follow the same logic as the P/E lens, which makes it a capital-structure-neutral cross-check.

What the dispersion tells us. The lenses span $31.02 to $90.15, a 2.9x spread (coefficient of variation 34%). The spread is wide enough that the answer depends on which question is asked: a multiples lens capitalises today's consensus, while the DCF has to earn it. We report the disagreement rather than average it away.

Weights. The profile starts from forward P/E 30%, dividend discount model 25%, DCF 25% and forward EV/EBITDA 20%. After the guardrails and the lenses that could not be built are removed, the weights are renormalised over those that remain, which is why they differ from the profile's starting point.

Guardrails: what the model is not allowed to do

Every intervention is explicit. A lens outside 0.2×–5× the share price is excluded (or winsorised if it is the only one); a lens more than 2.2× away from the median of the others is down-weighted by 60%; the published target is confined to 0.4×–2.5× the price; and with fewer than two usable lenses, or a result forced by a guardrail, the company is published NOT RATED rather than given a number we cannot defend.

- Target anchored 30% to the Street consensus ($98.13, 19 analysts); model-only target $63.74.

From fair value to target

Fair value today $62.11 × (1 + 7.52% cost of equity) − $3.04 dividends = **$63.74** model target; the Street mean of $98.13 at 30% weight moves it to **$74.06**.

Confidence is graded **Medium**: 4 independent lenses agree on a valuation; lens dispersion is moderate (CV 34%).

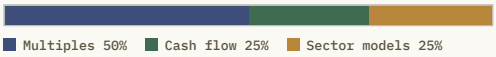
Bear and bull values are the low and high ends of the lens ranges (the DCF's own bear and bull scenarios where it is present), rolled forward the same way. They bracket the model's uncertainty; they are not statistical confidence intervals.

EXHIBIT 9 THE LENSES, WEIGHTS AND RANGES

LENS	VALUE	RANGE	WEIGHT
Discounted cash flow (FCFF)	$31.02	$16.32–47.56	25%
Forward P/E	$68.73	$56.36–81.10	30%
Forward EV/EBITDA	$90.15	$62.14–118.16	20%
Multi-stage dividend discount	$62.83	$50.27–75.40	25%
Fair value today	**$62.11**		100%

*Source: SuperAnalyst valuation model. * = down-weighted by the guardrail.*

EXHIBIT 10 WEIGHT BY FAMILY OF LENS



Multiples 50% Cash flow 25% Sector models 25%

Source: SuperAnalyst valuation model.

EXHIBIT 11 FROM FAIR VALUE TO PUBLISHED TARGET

Fair value today	$62.11
× (1 + 7.52% cost of equity)	$66.78
− dividends	−$3.04
Model target	**$63.74**
Street mean (30% weight)	$98.13
Published target	**$74.06**

Source: SuperAnalyst valuation model.

EXHIBIT 12 FORWARD P/E: INPUTS

Consensus EPS	$4.59 (FY2026) / $4.92 (FY2027)
NTM EPS (blend of the two years)	$4.76
Anchor P/E	17.0x
Growth adjustment	×1.00
Earnings-durability factor	×1.00
Leverage adjustment	×0.85
Target P/E	14.4x
Value per share	$68.73

Source: SuperAnalyst valuation model.

EXHIBIT 13 DISCOUNTED CASH FLOW (FCFF): INPUTS

WACC	6.96%
Terminal growth	2.50%
PV of explicit FCFF	$38.51bn
PV of terminal value	$72.46bn (65% of EV)
Enterprise value	$110.97bn
− Net debt & minorities	$75.29bn
Equity value	$35.68bn
Value per share	$31.02

Source: SuperAnalyst valuation model.

EXHIBIT 14 MULTI-STAGE DIVIDEND DISCOUNT: INPUTS

Current DPS	$3.04
Near-term div growth	2.8%
Terminal growth	2.5%
Cost of equity (Ke)	7.52%
PV of explicit dividends	$23.82
PV of terminal value	$39.01
Value per share	$62.83

Source: SuperAnalyst valuation model.

EXHIBIT 15 CONFIDENCE: MEDIUM

- 4 independent lenses agree on a valuation
- lens dispersion is moderate (CV 34%)

Grade from lens agreement, dispersion, distance to the Street and data-quality flags.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

VALUATION · RELATIVE

What the multiples say, and what we adjust before using them

Sector and peer anchors, scaled for growth, leverage and the durability of the earnings they are applied to.

On the numbers the market pays today, The Southern Company looks in line on earnings (18.5x NTM against 17.0x for regulated utilities, +9%) and in line on enterprise value (10.9x EV/EBITDA against 11.0x).

Where the anchor comes from

There is no usable peer set here (fewer than three peers with valid multiples), so the relative lenses are anchored on the regulated utilities reference table: 17.0x P/E, 11.0x EV/EBITDA, 2.8x EV/Sales and 1.9x P/B, with a sector growth rate of 6%. A sector median is a starting point, not a verdict: each lens then adjusts it for the company in front of us.

What we adjust, and why

Growth. The anchor is scaled ×1.00 (6.0% durable growth vs 6.0% sector) — the market pays for growth that lasts, so we use durable earnings growth of 6.0% (consensus FY+2 / FY+1 EPS step; capped at sector growth, cyclical) rather than a one-year consensus jump.

Leverage. Net debt of 5.1x EBITDA trims the multiple by 0.85.

The result is a target P/E of **14.4x** applied to NTM EPS, worth $68.73 a share.

Cross-checks

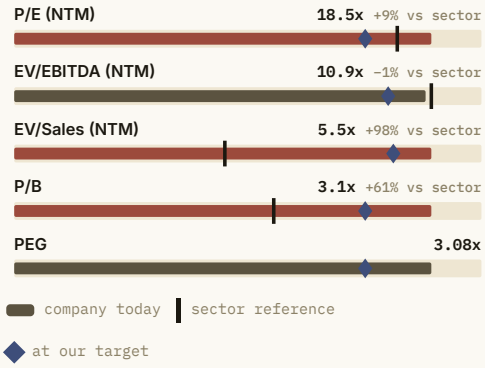
EV/Sales is 5.5x against 2.8x for the sector, price-to-book is 3.1x against 1.9x, free-cash-flow yield is −2.9%, dividend yield is 3.5% and the PEG ratio is 3.08x. These do not enter the target unless a lens is built on them, but they show whether the headline multiple is flattered by one line of the accounts.

Growth-adjusted view. The PEG ratio of 3.08x divides the P/E by durable growth; below 1 the market is paying less than a point of multiple per point of growth. Treat it with caution when growth is a cyclical rebound rather than a trend.

P/E versus EV/EBITDA. The two multiples disagree when capital structures differ. With net debt of 5.1x EBITDA, enterprise value is higher than market capitalisation, so EV/EBITDA is the harsher test. We use both for that reason.

Relative valuation is only as good as the earnings it is applied to. When forward EPS is far above trailing, a low P/E can be a warning sign rather than a bargain: it is the market declining to capitalise a peak. That is why the financial analysis that follows tests the earnings base before the cash-flow model is built.

EXHIBIT 16 VALUATION MULTIPLES AGAINST THE SECTOR



Source: yfinance; sector reference table; SuperAnalyst.

EXHIBIT 17 MULTIPLES TODAY, SECTOR REFERENCE AND AT OUR TARGET

MULTIPLE	TODAY	SECTOR	PREM.	AT TARGET
P/E (NTM)	18.5x	17.0x	+9%	15.6x
EV/EBITDA (NTM)	10.9x	11.0x	-1%	9.9x
EV/Sales (NTM)	5.5x	2.8x	+98%	5.0x
P/B	3.1x	1.9x	+61%	2.6x
FCF yield (LTM)	-2.9%	–	–	-3.4%
Dividend yield	3.5%	–	–	4.1%
PEG	3.08x	–	–	2.60x

Source: SuperAnalyst valuation model.

EXHIBIT 18 FROM SECTOR ANCHOR TO TARGET MULTIPLE

	P/E	EV/EBITDA
Sector / peer anchor	17.0x	11.0x
× growth	×1.00	×1.00
× earnings durability	×1.00	×1.00
× leverage	×0.85	–
= Target multiple	**14.4x**	**11.0x**
Value per share	$68.73	$90.15

Source: SuperAnalyst valuation model.

EXHIBIT 19 SECTOR REFERENCE: REGULATED UTILITIES

P/E	17.0x
EV/EBITDA	11.0x
EV/Sales	2.8x
P/B	1.9x
Sector growth	6%
Sector EBIT margin	17%

Source: SuperAnalyst sector reference table.

EXHIBIT 20 MULTIPLES AT THE CURRENT PRICE, BY FISCAL YEAR

$ PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
EPS	$3.99	$3.92	$4.59	$4.92	$5.09	$5.20
FCFF/share	$3.03	($0.20)	$2.63	$3.21	$3.63	$4.08
EV/EBITDA	13.1x	12.2x	11.4x	10.8x	10.5x	10.2x
P/E	22.1x	22.5x	19.2x	17.9x	17.3x	16.9x
FCF yield	2.0%	-0.1%	1.7%	2.1%	2.4%	2.7%

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

VALUATION · SCENARIOS AND SENSITIVITY

Range of outcomes, and the levers that move them

Bear, base and bull cases built from the lens ranges and the DCF scenarios, with the DCF's two most important dials.

We weight three outcomes 25 / 50 / 25: a **bear** case of $56.18, a **base** case of $74.06 and a **bull** case of $90.71. The probability-weighted target is **$73.75** (−13% including dividends), close to the base case because the range is roughly symmetric.

What each case needs to be true

Bear. The DCF's bear scenario values the shares at $16.32: slower revenue, margins that revert faster toward the through-cycle level and a higher reinvestment burden. Our published bear target of $56.18 (−36% from today's price) blends that with the lower ends of the multiples lenses, so it is the multiples, not the cash-flow model, that set the floor of the range. On the DCF's own terms the shares offer no margin of safety in a downturn.

Base. Consensus for the near years, growth fading geometrically to 2.5%, margins mean-reverting from 25% toward 26%, and a 7.0% WACC: $31.02 a share on the cash-flow lens, $62.11 once the multiples lenses are blended.

Bull. The DCF's bull scenario reaches $47.56: growth that fades more slowly and margins that hold closer to today's level. Our published bull target of $90.71 (+3%) is the upper end of the lens ranges rolled forward.

How sensitive is the DCF?

Across a ±150bps range of WACC and ±100bps of terminal growth the DCF value per share runs from $10.61 to $77.11 (Exhibit 23). The cost of capital matters more than terminal growth: each 75bps of WACC moves the value by about $12.39 (40%), against $0.31 for 50bps of terminal growth.

Risk and reward

Measured from $88.03, the bull case adds $2.68 (+3%) and the bear case costs $31.85 (−36%): an upside-to-downside ratio of **0.1x**. Asymmetry of that kind is what a rating should be built on, provided the bear case is credible.

Stress tests

Shocking one input at a time to the DCF, the most damaging are **WACC +100bps** (−46%) and EBIT margin −300bps (−42%); the most helpful are WACC −100bps (+62%) and EBIT margin +300bps (+42%) (Exhibit 25). None of the single shocks closes the gap to the blended fair value on its own, which is useful information about where the disagreement comes from.

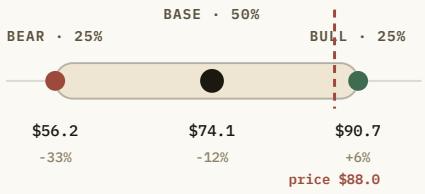
How sensitive is the multiple-based value?

Forward earnings and the target multiple are the inputs that matter most. A 10% change in either NTM EPS or the target multiple moves the forward P/E value by about $6.85 a share (they enter multiplicatively); across the grid (Exhibit 24) the value runs from $43.83 to $98.62.

What each lever is worth

- **Cost of capital:** every 75bps of WACC moves fair value by ≈$12.39/share (40%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth ≈$0.31/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth ≈$4.35/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 4.6% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

EXHIBIT 21 BEAR, BASE AND BULL TARGET



Source: SuperAnalyst valuation model.

EXHIBIT 22 SCENARIO TABLE

CASE	PROB.	TARGET	RETURN	DCF
Bear	25%	$56.18	−33%	$16.32
Base	50%	$74.06	−12%	$31.02
Bull	25%	$90.71	+6%	$47.56

Weighting bear / base / bull 25 / 50 / 25 gives **$73.75** (-13% incl. dividends). Bear and bull come from the lens ranges (DCF bear/bull cases in the last column).

Source: SuperAnalyst valuation model.

EXHIBIT 23 DCF VALUE PER SHARE: WACC × TERMINAL GROWTH

WACC \ G	1.5%	2.0%	2.5%	3.0%	3.5%
5.5%	$64.46	$66.43	$68.93	$72.27	$77.11
6.2%	$44.06	$44.43	$44.80	$45.17	$45.53
7.0%	$30.40	$30.71	$31.02	$31.33	$31.63
7.7%	$19.50	$19.76	$20.02	$20.28	$20.54
8.5%	$10.61	$10.83	$11.05	$11.27	$11.49

Shaded against the current price: green above, terracotta below; outlined = base case.

EXHIBIT 24 FORWARD P/E VALUE PER SHARE: TARGET MULTIPLE × NTM EPS

MULTIPLE \ EPS	-20%	-10%	BASE	+10%	+20%
11.5x	$43.83	$49.31	$54.79	$60.27	$65.75
13.0x	$49.31	$55.48	$61.64	$67.80	$73.97
14.4x	$54.79	$61.64	$68.49	$75.34	$82.19
15.8x	$60.27	$67.80	$75.34	$82.87	$90.40
17.3x	$65.75	$73.97	$82.19	$90.40	$98.62

Shaded against the current price; outlined = base case.

EXHIBIT 25 STRESS TESTS ON THE DCF

SHOCK TO THE DCF	PER SHARE	VS BASE
WACC +100bps	$16.83	−46%
WACC −100bps	$50.19	+62%
Terminal growth −50bps	$30.71	−1%
Terminal growth +50bps	$31.33	+1%
EBIT margin −300bps	$17.96	−42%
EBIT margin +300bps	$44.07	+42%
Revenue growth 20% lower	$24.92	−20%
Revenue growth 20% higher	$37.49	+21%
Capex +5 points of revenue	$19.44	−37%

Source: SuperAnalyst valuation model.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

FINANCIAL ANALYSIS · GROWTH AND PROFITABILITY

Growth, margins and earnings

Revenue 0.3% a year over 3 years; the EBIT margin is the swing factor.

Revenue went from $29.28bn in FY2022 to **$29.55bn** in FY2025, a compound rate of **0.3%** a year. Growth was uneven (FY2023 −14%, FY2024 +6%, FY2025 +11%), with FY2025 the strongest year.

Top line

Consensus looks for revenue of **$30.92bn** in FY2026 (+5%) and $32.74bn in FY2027 (+6%). Our DCF takes consensus for the first two years and then lets growth decay geometrically toward the 2.5% terminal rate, so revenue reaches $42.68bn by year 10 (3.7% a year over the period). Large numbers compress growth and competition erodes it; we do not extrapolate any single year.

Margins

The EBIT margin was **24.7%** in FY2025 (high, above the 17% sector reference), within a range of +18% (FY2022) to +26% (FY2024) over the window. Gross margin stood at 48.5% (from 36% at the start of the window), and net margin at 14.7%. Against a through-cycle EBIT margin of 23%, today's level is above normal; the DCF reverts 60% of the gap by the terminal year, landing at 26%.

The margin is the most valuable single input after the discount rate: each 100bps of EBIT margin across the forecast is worth about **$4.35** a share in the DCF.

Earnings per share

Diluted EPS was $3.92 in FY2025 (FY2022 $3.27, FY2023 $3.62, FY2024 $3.99 before). Consensus has **$4.59** for FY2026 and **$4.92** for FY2027, which blends to **$4.76** on a next-twelve-months basis.

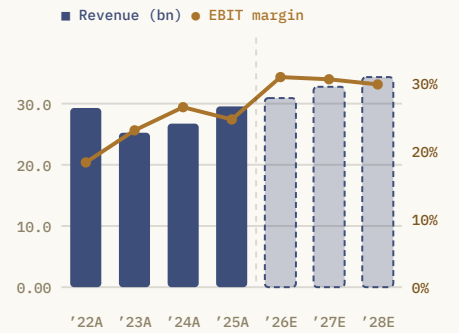
Operating leverage. Last year each extra $1 of revenue brought $0.08 of EBIT (below the 25% average margin), which says growth came with lower incremental profitability.

The table below the text sets out the income statement; forecast columns (shaded) are consensus where it exists and our DCF base case otherwise. Any line a provider does not report is shown as a dash rather than estimated.

WHAT TO WATCH

- FY2026 revenue against the $30.92bn consensus path.
- The EBIT margin against the 26% terminal level our DCF assumes.
- Gross-margin direction: it separates pricing power from volume.

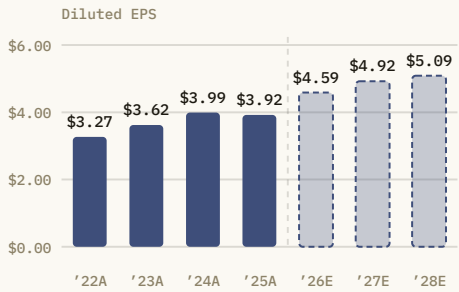
EXHIBIT 26 REVENUE AND EBIT MARGIN



Revenue compounds **+5%** a year to FY2028E on the base case; EBIT margin 25% → 30%.

Source: yfinance; SuperAnalyst.

EXHIBIT 27 DILUTED EPS, ACTUAL AND CONSENSUS



Consensus EPS $4.59 → $4.92 for FY2026–2027; NTM P/E **18.5x**.

Source: yfinance; SuperAnalyst.

EXHIBIT 28 GROWTH AND MARGIN BY FISCAL YEAR

	FY2022	FY2023	FY2024	FY2025
Revenue growth	–	−14%	+6%	+11%
Gross margin	36%	47%	50%	48%
EBIT margin	18%	23%	26%	25%
Net margin	12%	16%	16%	15%

Source: yfinance; SuperAnalyst.

EXHIBIT 29 INCOME STATEMENT

$BN	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Revenue	**29.28**	**25.25**	**26.72**	**29.55**	**30.92**	**32.74**	**34.33**
growth	–	−13.8%	5.8%	10.6%	4.6%	5.9%	4.8%
Gross profit	**10.63**	**11.78**	**13.36**	**14.32**	–	–	–
gross margin	36.3%	46.6%	50.0%	48.5%	–	–	–
EBITDA	**10.31**	**11.78**	**13.24**	**14.27**	**15.25**	**16.04**	**16.57**
EBITDA margin	35.2%	46.6%	49.5%	48.3%	49.3%	49.0%	48.3%
EBIT	**5.37**	**5.83**	**7.07**	**7.29**	**9.55**	**10.01**	**10.24**
EBIT margin	18.3%	23.1%	26.4%	24.7%	30.9%	30.6%	29.8%
Net income	**3.54**	**3.98**	**4.40**	**4.34**	**5.28**	**5.66**	**5.86**
net margin	12.1%	15.7%	16.5%	14.7%	17.1%	17.3%	17.1%
Diluted EPS	**$3.27**	**$3.62**	**$3.99**	**$3.92**	**$4.59**	**$4.92**	**$5.09**

Forecast columns: revenue, EBIT and capex are the DCF base case; net income and EPS use consensus where it covers the year; free cash flow in forecast years is unlevered (FCFF). Dashes mean the provider does not report the line.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

FINANCIAL ANALYSIS · CASH FLOW AND BALANCE SHEET

Cash generation, capital intensity and the balance sheet

Free cash flow of −$2.94bn; 5.1x net debt/EBITDA; ROIC 6% vs WACC 7.0%.

Operating cash flow of $9.80bn funded $12.74bn of capex in FY2025, leaving free cash flow of **−$2.94bn** — 2.3x net income and a −2.9% yield on the market capitalisation.

Capital intensity

Capex ran at **43%** of sales (from 27% in FY2022), 2.11x depreciation and amortisation. Above 1x the company is investing for growth, so free cash flow trails earnings until that spending matures; our DCF converges capex to 1.10x D&A by the terminal year so that growth is funded without permanent over- or under-investment.

Cash conversion

Free cash flow was negative (−$2.94bn): the business is consuming cash rather than generating it, and that is funded from the balance sheet ($1.64bn of cash). On free cash flow the shares yield −2.9%, and the 3.5% dividend is not covered by it.

Balance sheet

The Southern Company holds **$1.64bn** of cash and short-term investments against $74.08bn of debt: net debt of $72.44bn, or 5.1x EBITDA (high leverage). EBIT covers interest 2.2x, which our credit screen maps to BB; the current ratio is 0.65x. Shareholders' equity is $36.02bn, 2.8x book at the current price.

Returns on capital

ROIC is **5.6%** against a 7.0% WACC, a spread of −135bps; ROE is 12.1% and ROA 2.8%. Over the window ROIC moved 5% → 5% → 6% → 6%, so today's return is at the top of the range the business has delivered in the window, so the thesis needs it to hold. The DuPont split for FY2025 is a 14.7% net margin × 0.19x asset turnover × 4.32x equity multiplier = 12.1% ROE: leverage is a meaningful part of the return.

Working capital. The cash conversion cycle is 19 days (receivables 28, inventory 80, payables 89). In a growth phase that cycle consumes cash; if growth slows, the same cycle releases it, which is part of why free cash flow can run ahead of earnings in a downturn.

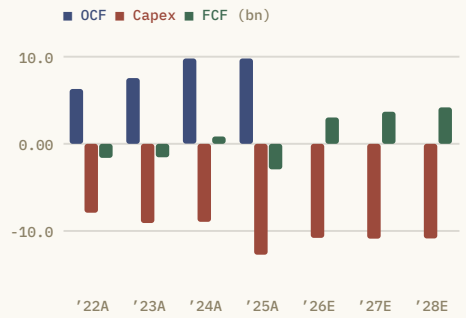
Capital return. The dividend is $3.04 a share (3.5% yield). Buybacks are not captured in the data we use, so total shareholder yield may be higher.

Statements are shown on page 14; forecast cash flow is unlevered (free cash flow to the firm) so that it can be discounted at the WACC without double-counting the interest tax shield.

KEY TAKEAWAYS

- Free cash flow −$2.94bn; 2.3x net income.
- Net debt 5.1x EBITDA.
- ROIC 6% against a 7.0% WACC.

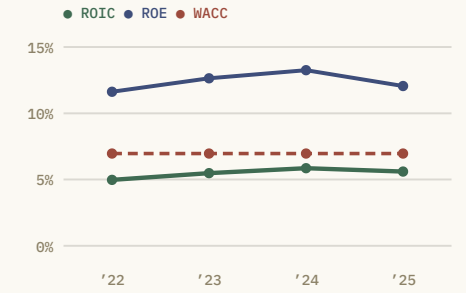
EXHIBIT 30 CASH GENERATION



FCF -2.9bn last year, -0.7x net income; capex intensity 2.1x D&A.

Source: yfinance; SuperAnalyst.

EXHIBIT 31 ROIC AND ROE AGAINST WACC



ROIC **6%** vs WACC 7.0%: returns below the cost of capital.

Source: SuperAnalyst; NOPAT = EBIT × (1 − tax).

EXHIBIT 32 RETURNS ON CAPITAL BY FISCAL YEAR

	FY2022	FY2023	FY2024	FY2025
ROE	11.6%	12.6%	13.3%	12.1%
ROA	2.6%	2.9%	3.0%	2.8%
ROIC	5.0%	5.5%	5.9%	5.6%
Asset turnover	0.22x	0.18x	0.18x	0.19x
Equity multiplier	4.44x	4.43x	4.37x	4.32x

Source: SuperAnalyst valuation model.

EXHIBIT 33 BALANCE SHEET

$BN	FY2022A	FY2023A	FY2024A	FY2025A
Cash & short-term investments	1.92	0.75	1.07	1.64
Total debt	59.13	63.49	66.28	74.08
Net debt / (net cash)	**57.22**	**62.74**	**65.21**	**72.44**
Net debt / EBITDA	5.6x	5.3x	4.9x	5.1x
Total assets	134.9	139.3	145.2	155.7
Shareholders' equity	30.41	31.44	33.21	36.02
Book value / share	$28.13	$28.64	$30.11	$32.52

Reported fiscal years; providers do not forecast the balance sheet.

EXHIBIT 34 CASH FLOW

$BN	FY2022A	FY2023A	FY2024A	FY2025A
Operating cash flow	6.30	7.55	9.79	9.80
Capex	(7.92)	(9.10)	(8.96)	(12.74)
Free cash flow	**(1.62)**	**(1.54)**	**0.83**	**(2.94)**
FCF margin	−5.5%	−6.1%	3.1%	−9.9%
FCF / net income	net cash	net cash	0.2x	net cash
Capex / D&A	1.9x	1.8x	1.7x	2.1x

Reported fiscal years; forecast free cash flow is shown in the DCF build.

FINANCIAL ANALYSIS · EARNINGS QUALITY

Earnings quality and financial health

Are the reported numbers backed by cash, is the balance sheet safe, and is the earnings base durable?

Accounting-based screens give a Piotroski F-score of **5** out of 9 testable, an Altman Z of **1.0** (distress) and Sloan accruals of **−3.6%** of assets. Taken together the signals are mixed, so we lean harder on cash-flow evidence than on reported earnings.

Piotroski F-score

The score counts nine binary tests of profitability, leverage and efficiency. The Southern Company passes five — positive return on assets, positive operating cash flow, cash flow exceeds net income (low accruals), no dilution (share count not up) and one more; it fails four: return on assets improving, leverage falling, current ratio improving and gross margin improving.

The failures are worth reading in context: these are year-on-year improvement tests, so they say the trend slipped in the latest year, not that the business is weak.

- **Profitability**: 3 of 4 passed
- **Leverage and liquidity**: 1 of 3 passed
- **Efficiency**: 1 of 2 passed

Distress risk

Altman's Z-score combines working capital, retained earnings, operating profit, market value of equity relative to liabilities and sales to assets. At **1.0** The Southern Company sits in the distress zone (above 2.99 is safe, below 1.81 is distress). The score is a screen, not a forecast; it was calibrated on industrial companies.

Accruals and the cash cycle

Sloan accruals — net income less operating cash flow, scaled by assets — are −3.6%. Readings below zero mean earnings are more than backed by cash; strongly positive readings are the classic marker of aggressive accounting. Working capital runs on DSO 28 days, DIO 80 days, DPO 89 days, a cash conversion cycle of 19 days. A cycle of that length ties up cash as the company grows, which is why the DCF charges −10.0% of incremental revenue to working capital.

Is the earnings base durable?

Not on the evidence of the history. The model flags the earnings as cyclical: revenue fell 14% in a single year. Forward earnings cannot be compared with a through-cycle average here (the average is not positive or not available), so no durability haircut is applied to the multiples (factor 1.00).

Scorecard. Of six factors scored 0–100, earnings quality (82) is the strongest and balance sheet (7) the weakest; the scales are given in the appendix.

KEY TAKEAWAYS

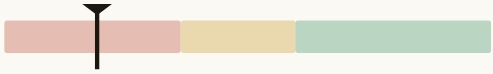
- Piotroski 5/9, Altman Z 1.0 (distress).
- Accruals −3.6% of assets: earnings are backed by cash.
- No durability haircut applied.

EXHIBIT 35 PIOTROSKI F-SCORE: 5 OF 9

●	Positive return on assets
●	Positive operating cash flow
●	Return on assets improving
●	Cash flow exceeds net income (low accruals)
●	Leverage falling
●	Current ratio improving
●	No dilution (share count not up)
●	Gross margin improving
●	Asset turnover improving

Nine binary tests; green = pass, red = fail, grey = not computable.

EXHIBIT 36 ALTMAN Z-SCORE: 1.0 (DISTRESS ZONE)



SLOAN ACCRUALS	OCF / NET INCOME
-3.6%	2.26x

Original industrial form: > 2.99 safe, 1.81–2.99 grey, < 1.81 distress.

EXHIBIT 37 WORKING-CAPITAL CYCLE

DSO 28 d	DIO 80 d
DPO 89 d	CCC 19 d

Source: yfinance; SuperAnalyst.

EXHIBIT 38 EARNINGS DURABILITY

Trailing EPS	$3.92
Consensus EPS FY2026	$4.59
Consensus EPS FY2027	$4.92
NTM EPS used	**$4.76**
Through-cycle EPS	$3.70
Forward ÷ through-cycle	1.3x
Durable EPS growth used	6.0%
Durability factor on multiples	**×1.00**

Source: SuperAnalyst valuation model.

EXHIBIT 39 DUPONT DECOMPOSITION, FY2025

Net margin	14.7%
× Asset turnover	0.19x
× Equity multiplier	4.32x
= ROE	**12.1%**

Source: SuperAnalyst valuation model.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

VALUATION · DISCOUNTED CASH FLOW (1/2)

DCF: the assumptions behind the cash flows

Consensus for the near years, then geometric growth decay, mean-reverting margins and reinvestment tied to growth and returns.

The DCF is the cross-check that ignores what other investors pay. It values **ten years** of unlevered free cash flow plus a terminal value, discounted at the **6.96%** WACC. The early years follow consensus; thereafter growth decays geometrically and margins mean-revert, so the model cannot extrapolate a single strong year.

The drivers

Revenue growth: `4.6% → 2.5% over 10y`. Years 1–2 follow consensus revenue for FY2026 and FY2027. Growth then decays geometrically from 5.9% to the 2.5% terminal rate as revenue compounds toward $43bn — competitive entry and the law of large numbers compress incremental growth; no single year's step is ever extrapolated.

EBIT margin: `24.7% → 30.9% → 26.1% (expands)`. Reported margin is 24.7%; year-1 margin is 30.9%. This is a cyclical business, so we revert 60% of the way toward the through-cycle average of 23.1%, landing at 26.1% — crediting some but not all of current profitability as durable.

Reinvestment (capex): `34.9% → 20.3% of sales`. Starts at the historical capex intensity (34.9%) against D&A of 18.4%, converging to 1.10x D&A by the terminal year — a steady state that funds growth without permanent over- or under-investment.

Working capital: `−10.0% of Δrevenue`. Incremental working capital releases 10.0% of each year's revenue increase (historical median) — a source of cash (negative working-capital model).

Tax rate: `16.3%`. Normalised to the trailing effective rate of 16.3%, applied to EBIT to derive NOPAT.

Terminal growth: `2.5%`. At or below long-run nominal GDP (4.0%); a mature going concern cannot outgrow the economy in perpetuity. Terminal reinvestment is g/ROIC.

Cost of capital

The cost of equity is **7.52%**: a 4.3% risk-free rate plus a beta of **0.70** times a 4.6% equity risk premium. The beta is blended: 50% Blume-adjusted regression, 50% industry bottom-up. Debt costs 7.4% before tax (BB, EBIT/int = 2.2x), 6.2% after tax, and makes up 42.2% of the capital structure at market values, so the WACC is 6.96%.

Terminal value

Terminal growth is **2.5%**, at or below long-run nominal GDP, with terminal reinvestment of g ÷ ROIC (36% of NOPAT at a 6% terminal ROIC). The terminal value is **65%** of enterprise value.

EXHIBIT 40 COST OF CAPITAL BUILD

Risk-free rate	4.30%
Equity risk premium	4.60%
Beta used	0.70
Cost of equity	**7.52%**
Cost of debt (after tax)	6.19%
Equity / debt weights	58% / 42%
WACC	**6.96%**

Beta: blended: 50% Blume-adjusted regression, 50% industry bottom-up.

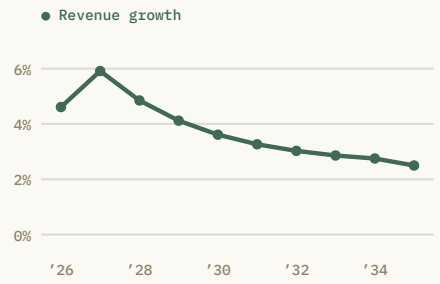
Source: SuperAnalyst valuation model.

EXHIBIT 41 DCF DRIVERS ALONG THE FORECAST

	2026E	2028E	2030E	2035E
Revenue growth	5%	5%	4%	2%
EBIT margin	31%	30%	28%	26%
Capex / revenue	35%	32%	28%	20%
FCFF margin	10%	12%	14%	20%

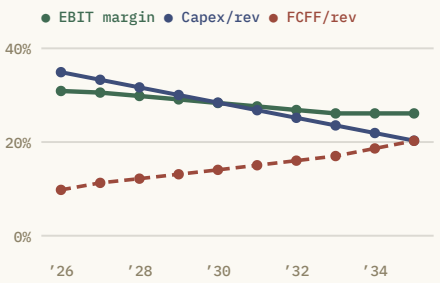
Source: SuperAnalyst valuation model.

EXHIBIT 42 REVENUE GROWTH: CONSENSUS, THEN GEOMETRIC DECAY



Source: SuperAnalyst valuation model.

EXHIBIT 43 REINVESTMENT AND PROFITABILITY PATH



Source: SuperAnalyst valuation model.

EXHIBIT 44 FREE-CASH-FLOW BUILD · $BN

	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Revenue	**30.92**	**32.74**	**34.33**	**35.74**	**37.04**	**38.24**	**39.40**	**40.53**	**41.64**	**42.68**
growth	4.6%	5.9%	4.8%	4.1%	3.6%	3.3%	3.0%	2.9%	2.7%	2.5%
EBIT	9.55	10.01	10.24	10.39	10.49	10.55	10.58	10.58	10.87	11.14
EBIT margin	30.9%	30.6%	29.8%	29.1%	28.3%	27.6%	26.8%	26.1%	26.1%	26.1%
NOPAT	7.99	8.37	8.57	8.70	8.78	8.83	8.85	8.85	9.09	9.32
+ D&A	5.70	6.04	6.33	6.59	6.83	7.05	7.26	7.47	7.68	7.87
− Capex	(10.80)	(10.90)	(10.87)	(10.74)	(10.52)	(10.24)	(9.91)	(9.54)	(9.12)	(8.65)
− Δ working capital	0.14	0.18	0.16	0.14	0.13	0.12	0.12	0.11	0.11	0.10
Unlevered FCF	**3.03**	**3.69**	**4.18**	**4.69**	**5.21**	**5.75**	**6.32**	**6.90**	**7.76**	**8.64**
Discount factor	0.967	0.904	0.845	0.790	0.739	0.691	0.646	0.604	0.565	0.528
Present value	2.93	3.34	3.53	3.70	3.85	3.97	4.08	4.16	4.38	4.56

Source: SuperAnalyst valuation model.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

VALUATION · DISCOUNTED CASH FLOW (2/2)

DCF: what it values, and what the price requires

$31.02 a share on the cash-flow lens; the terminal value carries 65% of enterprise value.

The base case gives an enterprise value of **$110.97bn** and an equity value of **$35.68bn**, or **$31.02** a share (−65% against the price). That is the lowest of our lenses, and the triangulation weights it accordingly.

Where the value sits

Explicit cash flows contribute $38.51bn and the terminal value $72.46bn (65% of EV). The terminal value implies an exit multiple of **7.2x** EBITDA against 12.2x today, a steady-state multiple for a mature business.

Terminal ROIC is 6.0% against a 7.0% WACC, so growth in perpetuity destroys value, which is why we cap it near zero.

Why the DCF sits below the multiples

Multiples capitalise consensus earnings as they are; the DCF has to earn them. Neither answer is wrong; the gap measures how much of today's profitability the market is treating as permanent.

Reverse DCF: what the price needs

Holding our cost of capital and long-run assumptions, the current price requires year-one revenue growth of **10.0%** (terminal growth 4.7%) against our 4.6%. The market is therefore already pricing in more than we model; the shares need delivery above our base case to earn their cost of equity on this lens.

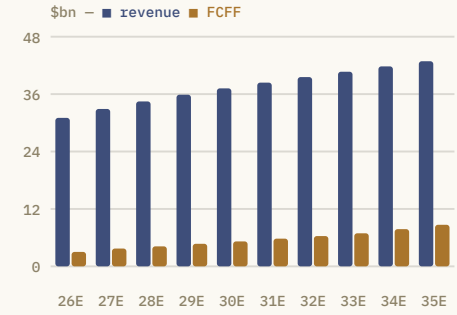
Implied multiples. At the DCF value of $31.02 the shares would trade on 6.5x NTM EPS, against 18.5x today and 17.0x for the sector. That is a useful sanity check: a DCF that implies a multiple far below any peer is usually telling us about its own conservatism as much as about the stock.

Model diagnostics

- Terminal EV/EBITDA vs today: 7.2x implied vs 13.0x current — ok
- Terminal ROIC vs WACC: 6.0% vs 7.0% — value-destructive

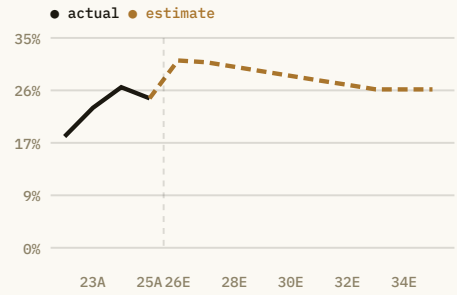
The bear and bull scenarios bracket the base value at $16.32 and $47.56; the sensitivity table on page 5 shows the effect of the discount rate and terminal growth.

EXHIBIT 45 REVENUE AND FREE CASH FLOW TO THE FIRM



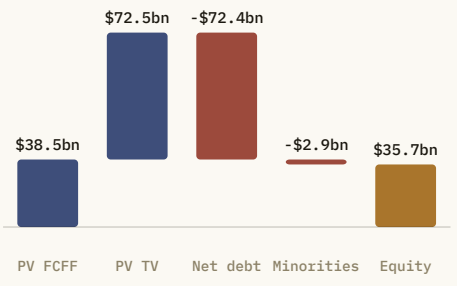
Source: SuperAnalyst valuation model.

EXHIBIT 46 EBIT MARGIN PATH



Source: SuperAnalyst valuation model.

EXHIBIT 47 ENTERPRISE VALUE TO EQUITY VALUE



Source: SuperAnalyst valuation model.

EXHIBIT 48 DCF OUTPUTS

WACC 6.96%	TERMINAL GROWTH 2.50%
TERMINAL VALUE / EV 65%	ENTERPRISE VALUE $110.97bn
EQUITY VALUE $35.68bn	IMPLIED EXIT EV/EBITDA 7.2x
TERMINAL ROIC 6%	DCF VALUE / SHARE $31.02

Source: SuperAnalyst valuation model.

EXHIBIT 49 MODEL DIAGNOSTICS

CHECK	READING	STATUS
Terminal EV/EBITDA vs today	7.2x implied vs 13.0x current	ok
Terminal ROIC vs WACC	6.0% vs 7.0%	value-destructive

Source: SuperAnalyst valuation model.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

MACRO CONTEXT · RELOJ DE INVERSIÓN

Where the cycle is: Stagflation, weak signal

Growth and inflation read from 28 FRED series, expressed as probabilities of four phases rather than a single label.

The Reloj de inversión — our own cycle model, published as a separate project — classifies the US economy each month into one of four phases from growth and inflation. Its latest reading (2026-10) is **Stagflation** (the Reloj's "Estanflación") with **weak** conviction: 37% against 36% for Overheat.

How the Reloj reads the cycle

Twenty-eight FRED series are converted to robust z-scores and combined by principal components into a growth axis and an inflation axis; the month's position on that plane, and its uncertainty, give a probability for each phase. A phase is Recovery (growth above trend, inflation below), Overheat (both above), Stagflation (growth below, inflation above) or Reflation (both below).

The current reading

Growth sits at **−0.01σ** and inflation at **+0.19σ** of their ten-year norms, i.e. close to the centre of the plane, where phase calls are least reliable. Over three months growth has moved −0.04σ and inflation −0.07σ. The model's 12-month recession probability is **8%**.

Why a weak signal changes how we use it

Only 1.1 percentage points separate the first and second phase. When the call is that close, naming one phase and acting on it would be false precision; the more honest estimate is the probability-weighted one. That is what we use on the next page: each phase's historical sector return, weighted by today's phase probabilities.

What each phase has favoured

The Reloj's rotation playbook, built from the same history (inverse volatility), leans on different sleeves in each phase:

- **Recovery**: Consumer staples (22%), Health care (21%) and Materials (20%)
- **Overheat**: Consumer staples (42%), Financials (34%) and Energy (24%)
- **Stagflation**: Utilities (32%), Industrials (26%) and Semiconductors (22%)
- **Reflation**: Gold miners (20%), Consumer staples (18%) and Health care (18%)

How long in this phase. The Reloj has called Stagflation for three consecutive months, and for 68% of the last 8 years. A phase that has just changed carries more uncertainty than one that has persisted.

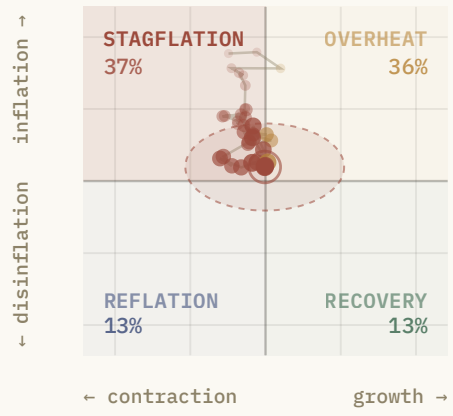
The macro read is context for the valuation. It does not move our price target, but it does tell us whether the sector a company belongs to has historically had the wind at its back or in its face.

Direction of travel. A year ago the Reloj plotted at growth −0.56σ and inflation +0.34σ; it now plots at −0.01σ and +0.19σ, a drift toward stronger growth and little change in inflation.

KEY TAKEAWAYS

- Stagflation, weak signal: 37% vs 36% for Overheat.
- Growth −0.01σ, inflation +0.19σ; 12-month recession probability 8%.
- We weight phases by probability; the label alone is not a forecast.

EXHIBIT 50 GROWTH × INFLATION PLANE, LAST 36 MONTHS



Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst.

EXHIBIT 51 PHASE PROBABILITIES

Recovery	13%
Overheat	36%
Stagflation	**37%**
Reflation	13%

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst.

EXHIBIT 52 THE READING IN NUMBERS

GROWTH Z -0.01σ	INFLATION Z +0.19σ
RECESSION 12M 8%	GROWTH Δ3M -0.04σ
INFLATION Δ3M -0.07σ	DATA live

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst. Data: live, 2026-10.

EXHIBIT 53 WHAT THE RELOJ'S PLAYBOOK LEANS ON, BY PHASE

Recovery	Consumer staples, Health care, Materials
Overheat	Consumer staples, Financials, Energy
Stagflation	Utilities, Industrials, Semiconductors
Reflation	Gold miners, Consumer staples, Health care

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst.

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst. 28 FRED series; robust z-scores and PCA.

MACRO CONTEXT · SECTOR EVIDENCE

What the Utilities sleeve has paid in each phase, and where that leaves us

Excess returns against the US market by phase, shrunk toward zero, with the statistics that say how much to trust them.

We map **The Southern Company** to the Reloj's **Utilities** sleeve, which it tracks through IDU and XLU; the Reloj's evidence for Utilities runs back to 1970 and covers 226 months in its longest phase.

What the sector has paid in each phase

- **Recovery**: 6.7% a year on average, +0.0 pp a year versus the US market (t = +0.1, hit rate 59%, no-signal evidence)
- **Overheat**: 6.0% a year on average, +0.0 pp a year versus the US market (t = −0.1, hit rate 55%, no-signal evidence)
- **Stagflation** (current): 3.5% a year on average, +0.0 pp a year versus the US market (t = −0.8, hit rate 55%, no-signal evidence)
- **Reflation**: 11.1% a year on average, +0.0 pp a year versus the US market (t = +1.1, hit rate 64%, no-signal evidence)

Read these with the statistics in mind. A t-statistic smaller than about 2 in absolute value means the sector's return in that phase cannot be told from chance; across all sector × phase cells the Reloj tests, only 25 of 192 survive false-discovery control. That is why the Reloj shrinks every estimate toward zero, and why we quote the shrunk figure.

The probability-weighted tilt

Weighting each phase's shrunk excess return by today's phase probabilities gives a tilt of **+0.0 pp** a year for Utilities against the US market. That is small relative to the noise in the estimates: a nudge, not a thesis.

Scenario: the cycle tips. If the Reloj's runner-up, Overheat, took over, the sector's historical edge would move from +0.0 pp to +0.0 pp a year. Across the four phases Utilities has done best in Recovery (+0.0 pp) and worst in Recovery (+0.0 pp).

Playbook and ETF exposure

In the current phase the Reloj's playbook allocates **31.8%** to Utilities. SO is the second-largest holding of the sector ETF, with a 7.62% weight, inside the Eléctricas reguladas sub-sector (50.1% of the fund). Owning the sector through its ETF carries that exposure at the weight shown; owning the stock adds single-name risk the sector evidence does not measure.

Putting the cycle and the valuation together

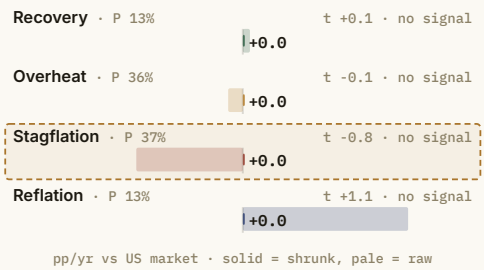
The tilt (+0.0 pp a year) is too small to alter a reduce valuation call; the cycle is background rather than a driver.

KEY TAKEAWAYS

- Utilities tilt +0.0 pp a year, probability-weighted; current-phase edge +0.0 pp.
- Playbook weight 31.8% in Stagflation.
- Context for the valuation, not an input to the target.

Source: Reloj de inversión, github.com/Perez849/reloj-inversion. The tilt describes historical behaviour; it is not an input to the target and not investment advice.

EXHIBIT 54 UTILITIES: EXCESS RETURN BY PHASE



Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst.

EXHIBIT 55 HISTORICAL EVIDENCE FOR UTILITIES

PHASE	ANN.	VS MKT	T	HIT	N
Recovery	6.7%	+0.0	+0.1	59%	187
Overheat	6.0%	+0.0	-0.1	55%	120
Stagflation ●	3.5%	+0.0	-0.8	55%	226
Reflation	11.1%	+0.0	+1.1	64%	148

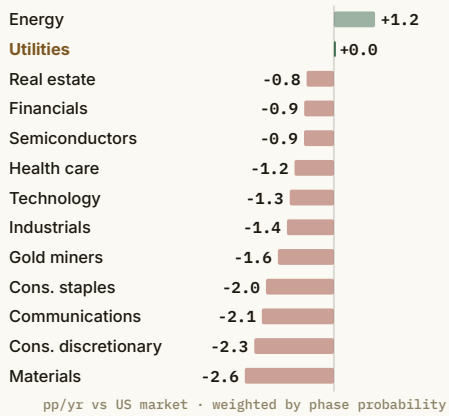
Ann. = sector annual return in the phase; vs mkt = shrunk excess return (pp); t = Newey-West; n = months.

EXHIBIT 56 THE RELOJ'S PLAYBOOK NOW: STAGFLATION

ALLOCATION	WEIGHT
Industrials	26.0%
Semiconductors	22.2%
Utilities ◂	**31.8%**
Gold miners	6.0%
Gold bullion	14.0%

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst. Scheme: Inverse volatility.

EXHIBIT 57 PROBABILITY-WEIGHTED TILT, ALL SECTORS



Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst. Highlighted = this company's sector.

EXHIBIT 58 ETF EXPOSURE

ETFS	WEIGHT IN SECTOR ETF
IDU · XLU	7.62%
RANK IN ETF	ELÉCTRICAS REGULADAS (SUB-SECTOR)
#2	50.1% of ETF

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst.

FACTORS, CATALYSTS AND RISKS

What moves the stock, and what could go wrong

Exposure scored from the model's sensitivities and the company's history; levers quantified in value per share.

We scored nine macro and company-specific factors from the model and the reported history. **High exposure**: interest rates / discount rate, economic cycle / demand, inflation / input costs, credit & refinancing, regulation & allowed returns, competitive erosion, execution vs expectations and capital intensity. **Medium**: pricing power / margin stability.

What moves the stock most

Interest rates / discount rate (high). Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations. Evidence: 75bps of WACC ≈ $12.39/sh (40%); TV = 65% of EV.

Economic cycle / demand (high). Historical top-line dispersion is the cleanest read on cyclicality: a stable compounding base decouples from GDP; a volatile one imports the macro cycle into earnings. Evidence: Revenue growth volatility σ = 10.5% over 3y.

Inflation / input costs (high). Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L. Evidence: −100bps EBIT margin ≈ −$4.35/sh; margin σ = 3.0%.

Key risks

- Allowed returns and rate-case outcomes drive long-run value; a regulatory reset or higher funding costs would compress the multiple.
- Elevated leverage (debt/equity 0.7x at market) amplifies equity-value sensitivity to the cost of capital.
- Our model-only target is 35% below the Street consensus ($98.13); where the model is right the stock has an information edge, where it is wrong the Street's inputs deserve more weight.
- Estimate risk: consensus forecasts can be revised sharply, and the forward-multiple lenses move one-for-one with the earnings they are applied to.
- Multiple risk: target multiples are anchored on sector medians; a de-rating of the peer group lowers the target regardless of company performance.
- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

How big are the risks?

The levers behind these exposures are quantified on page 5. Translating the risks into the DCF: WACC +100bps would cut the DCF value by 46%; EBIT margin −300bps would cut the DCF value by 42%; capex +5 points of revenue would cut the DCF value by 37%. These are single-factor shocks; in practice they arrive together (a de-rating and an estimate cut usually do), so the combined effect is larger than any one of them.

What we would monitor

- Delivery against the FY2026 revenue and EPS path in quarterly results, the cleanest re-rating trigger either way.
- The EBIT margin, and whether pricing, mix and cost discipline hold it near the level the DCF assumes.
- The Reloj's phase and probabilities, monthly: a move of the leading phase changes the sector's historical tilt.
- Changes to the cost of equity: rates and the equity risk premium are the single largest swing factor in the DCF.

Risks are listed in the order the model ranks them, not in order of probability; several interact (a de-rating and an estimate cut usually arrive together).

EXHIBIT 59 FACTOR EXPOSURE

FACTOR	EXPOSURE
Interest rates / discount rate	HIGH
Economic cycle / demand	HIGH
Inflation / input costs	HIGH
Credit & refinancing	HIGH
Regulation & allowed returns	HIGH
Competitive erosion	HIGH
Execution vs expectations	HIGH
Capital intensity	HIGH
Pricing power / margin stability	MEDIUM

Source: SuperAnalyst valuation model.

EXHIBIT 60 STRESS TESTS ON THE DCF

SHOCK TO THE DCF	PER SHARE	VS BASE
WACC +100bps	$16.83	−46%
WACC −100bps	$50.19	+62%
Terminal growth −50bps	$30.71	−1%
Terminal growth +50bps	$31.33	+1%
EBIT margin −300bps	$17.96	−42%
EBIT margin +300bps	$44.07	+42%
Revenue growth 20% lower	$24.92	−20%
Revenue growth 20% higher	$37.49	+21%
Capex +5 points of revenue	$19.44	−37%

Source: SuperAnalyst valuation model.

EXHIBIT 61 WHAT EACH LEVER IS WORTH (DCF)

LEVER	PER SHARE	% OF DCF
WACC ±75bps	$12.39	40%
Terminal growth ±50bps	$0.31	1%
EBIT margin +100bps	$4.35	14%

Source: SuperAnalyst valuation model.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

APPENDIX A

Financial statements

Reported fiscal years with the DCF base case and consensus as shaded forecast columns. Currency USD; bn unless noted.

EXHIBIT 62 INCOME STATEMENT

$BN	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Revenue	**29.28**	**25.25**	**26.72**	**29.55**	**30.92**	**32.74**	**34.33**
growth	–	-13.8%	5.8%	10.6%	4.6%	5.9%	4.8%
Gross profit	10.63	11.78	13.36	14.32	–	–	–
gross margin	36.3%	46.6%	50.0%	48.5%	–	–	–
EBITDA	10.31	11.78	13.24	14.27	15.25	16.04	16.57
EBITDA margin	35.2%	46.6%	49.5%	48.3%	49.3%	49.0%	48.3%
EBIT	**5.37**	**5.83**	**7.07**	**7.29**	**9.55**	**10.01**	**10.24**
EBIT margin	18.3%	23.1%	26.4%	24.7%	30.9%	30.6%	29.8%
Net income	3.54	3.98	4.40	4.34	5.28	5.66	5.86
net margin	12.1%	15.7%	16.5%	14.7%	17.1%	17.3%	17.1%
Diluted EPS	**$3.27**	**$3.62**	**$3.99**	**$3.92**	**$4.59**	**$4.92**	**$5.09**

EXHIBIT 63 BALANCE SHEET

$BN	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Cash & short-term investments	1.92	0.75	1.07	1.64	–	–	–
Total debt	59.13	63.49	66.28	74.08	–	–	–
Net debt / (net cash)	**57.22**	**62.74**	**65.21**	**72.44**	**–**	**–**	**–**
Net debt / EBITDA	5.6x	5.3x	4.9x	5.1x	–	–	–
Total assets	134.9	139.3	145.2	155.7	–	–	–
Shareholders' equity	30.41	31.44	33.21	36.02	–	–	–
Book value / share	$28.13	$28.64	$30.11	$32.52	–	–	–

EXHIBIT 64 CASH FLOW

$BN	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Operating cash flow	6.30	7.55	9.79	9.80	–	–	–
Capex	(7.92)	(9.10)	(8.96)	(12.74)	(10.80)	(10.90)	(10.87)
Free cash flow	**(1.62)**	**(1.54)**	**0.83**	**(2.94)**	**3.03**	**3.69**	**4.18**
FCF margin	-5.5%	-6.1%	3.1%	-9.9%	9.8%	11.3%	12.2%
FCF / net income	net cash	net cash	0.2x	net cash	–	–	–
Capex / D&A	1.9x	1.8x	1.7x	2.1x	1.9x	1.8x	1.7x

Forecast columns: revenue, EBIT and capex are the DCF base case; net income and EPS use consensus where it covers the year; free cash flow in forecast years is unlevered (FCFF). Dashes mean the provider does not report the line.

EXHIBIT 65 RETURNS ON CAPITAL BY FISCAL YEAR

	FY2022	FY2023	FY2024	FY2025
ROE	11.6%	12.6%	13.3%	12.1%
ROA	2.6%	2.9%	3.0%	2.8%
ROIC	5.0%	5.5%	5.9%	5.6%
Asset turnover	0.22x	0.18x	0.18x	0.19x
Equity multiplier	4.44x	4.43x	4.37x	4.32x

Source: SuperAnalyst valuation model.

APPENDIX B

Methodology, definitions and disclosures

Method in one paragraph

The price target triangulates relative lenses (target multiples on consensus forward numbers, anchored on peers or a sector reference table and adjusted for durable growth, leverage and earnings durability), a 10-year DCF (consensus for the near years, geometric growth decay, mean-reverting margins) and sector models (residual income, justified P/B, FFO/AFFO, dividends, mid-cycle EBITDA), weighted by company profile. Fair value is rolled forward at the cost of equity and reduced by dividends to give a 12-month target.

Guardrails

A lens outside 0.2×–5× the share price is excluded; a lens more than 2.2× away from the median of the others is down-weighted by 60%; the published target is limited to 0.4×–2.5× the price; fewer than two usable lenses, or a result forced by a guardrail, is published NOT RATED. The Street consensus is anchored at up to 30% (scaled by analyst count; 15% when the count is unknown) and is always shown separately.

Rating bands

On the 12-month expected total return: OVERWEIGHT above +15%, ADD +5% to +15%, NEUTRAL −5% to +5%, REDUCE −15% to −5%, UNDERWEIGHT below −15%.

Scorecard scales

Valuation: expected return −30% to +50% mapped to 0–100. Growth: durable EPS growth 0–25% and FY+1 revenue −5% to +30%. Profitability: ROIC − WACC from −5 to +25 points and EBIT margin 0–35%. Earnings quality: Piotroski share of tests passed, OCF/net income 0.5–1.2 and accruals. Balance sheet: net debt/EBITDA, interest cover and Altman zone. Cycle fit: Reloj tilt −4 to +4 pp a year.

Quality screens

Piotroski F: nine binary tests of profitability, leverage/liquidity and efficiency; tests that cannot be computed from the available statement lines are excluded, not failed. Altman Z (original industrial form): above 2.99 safe, 1.81–2.99 grey, below 1.81 distress. Sloan accruals: (net income − operating cash flow) ÷ average assets.

Reloj de inversión

Phase probabilities and sector evidence come from the Reloj de inversión project's published data (github.com/Perez849/reloj-inversion). Tilt = Σ phase probability × shrunk excess return of the sector in that phase. It describes historical behaviour and is not an input to the price target.

Data and limits

Fundamentals and consensus come from yfinance; the company was classified as **Utility (P/E + dividends + DCF)**. Forward numbers are analyst consensus where available and reported figures otherwise. A single third-party source can contain restatements, one-off items or classification differences that move the output; the model flags what it can detect and refuses to publish a number it cannot defend.

Definitions

EV: enterprise value = market capitalisation + net debt + minorities. NTM: next twelve months, a time-weighted blend of the two nearest forecast fiscal years. FCFF: free cash flow to the firm = NOPAT + D&A − capex − change in working capital. WACC: weighted average cost of capital. ROIC: NOPAT ÷ invested capital (debt + equity − cash). PEG: P/E ÷ durable earnings growth. Tilt: probability-weighted excess return of a sector against the US market, in percentage points a year.

Disclaimer

This research note is generated by an automated, sector-aware valuation engine from public data. It is an analytical tool, not investment advice, a recommendation or an offer to transact, and it is no substitute for fundamental judgement. Past performance and historical sector behaviour are not guides to future returns. Do your own due diligence.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.